

ADT — Investment Analysis

Investment Recommendation

Recommendation: Pass at the modeled transaction terms.

The hypothetical acquisition generates a five-year base-case equity IRR of 18.6% and a 2.3x multiple of invested capital, falling short of the 20.0% IRR target. In the downside case, equity IRR declines to –9.8% and the investment returns only 0.6x invested capital. Minimum debt-service coverage falls from approximately 1.25x in the base case to 1.06x in the downside case, leaving limited room for further operating deterioration.

These results suggest that the modeled return does not adequately compensate for the downside risk. A lower entry valuation or revised financing structure should be tested before reconsidering the transaction.

Transaction Overview & Assumptions

This analysis evaluates a hypothetical leveraged acquisition of ADT Inc., a security and monitoring services company, over a five-year forecast period from 2026 through 2030. The transaction assumes a 5.5x entry EV/EBITDA multiple, initial debt of 4.0x EBITDA, a 7.0% interest rate, and a 100% sweep of available excess cash toward debt repayment.

The base case assumes 5.0% annual revenue growth, a 52.0% EBITDA margin, and a 5.5x exit EV/EBITDA multiple. The downside case reduces annual revenue growth to 2.0%, EBITDA margin to 48.0%, and the exit multiple to 4.5x.

EBITDA is calculated as operating income plus depreciation and amortization and differs from company-reported Adjusted EBITDA. The transaction terms and forecast assumptions are illustrative.

Scenario Results

Metric	Base	Downside
Exit EBITDA (\$M)	3,403.7	2,718.0
Exit Debt (\$M)	8,462.2	9,696.7
Sponsor Exit Proceeds (\$M)	10,358.1	2,634.0
MOIC	2.3x	0.6x
Annualized Equity IRR	18.6%	–9.8%
Minimum DSCR	1.25x	1.06x

Base-case minimum DSCR rounds to 1.25x but falls slightly below the 1.25x threshold before rounding.

Key Risks & Model Limitations

Operating performance: Slower revenue growth and lower margins reduce cash available for debt repayment, leaving more debt outstanding at exit.

Exit valuation: The downside case combines weaker earnings with a lower exit multiple, materially reducing sponsor equity proceeds.

Debt coverage: Minimum DSCR approaches 1.0x in the downside case, leaving limited capacity to absorb additional cash-flow pressure.

Model limitations: This is an illustrative underwriting model, not a full acquisition financing analysis. It uses simplified tax and working-capital assumptions, a blended interest rate, and an assumed 100% excess-cash sweep. Customer acquisition spending and deferred cash-flow adjustments affect cash conversion, so EBITDA alone should not be treated as cash available for debt service.